

Part 4 — Business Insights

Key Insights

1. **Early-tenure customers are the highest churn-risk group:** 47.44% churn for 0–12 months vs. 9.51% for 49–72 months.
2. **Contract type is strongly associated with churn:** 42.71% for month-to-month vs. 2.83% for two-year contracts.
3. **New month-to-month customers represent the highest-risk segment:** 51.35% churn.
4. **Fiber optic customers have significantly higher churn:** 41.89% vs. 18.96% for DSL.
5. **Electronic-check customers show substantially higher churn:** 45.29% vs. 15.24% for automatic credit cards.

Business Risks

Risk 1 — Customer acquisition investment may be lost early

The 47.44% churn rate among customers within their first 12 months creates a significant risk of losing customers before they become established and generate longer-term value.

Risk 2 — High-risk service segments may expose recurring revenue

Fiber optic customers have a 41.89% churn rate and represent 44% of the customer base. Continued attrition within this large segment could create substantial recurring-revenue exposure.

Risk 3 — Heavy reliance on high-risk customer groups

Month-to-month customers makes up **55% of the customer base** and have a 42.71% churn rate. This concentration leaves the business exposed to elevated customer turnover.

Business Opportunities

Opportunity 1 — Strengthen first-year customer retention

The company can focus onboarding and early-stage engagement on customers within their first 12 months, particularly those on month-to-month contracts.

Opportunity 2 — Encourage longer-term contracts

The large month-to-month customer segment presents an opportunity to encourage

appropriate customers to transition to one- or two-year contracts through targeted incentives and added value.

Opportunity 3 — Improve the fiber customer experience

The high churn rate among fiber customers creates an opportunity to investigate pricing, service quality, technical support and customer experience to identify potential retention improvements.